

ments have been driven by both the central government and state governments. A key reason for private capex lagging has been the [low] capacity utilisation across sectors. We have seen capacity utilisation below [the level] that would trigger new investments coming in, other than for sectors like steel and cement, where we have seen 75-80 per cent to maybe 70-75 per cent capacity utilisation. [But] most segments have seen below 65 per cent capacity utilisation. And that's a reason why you have not seen private investment pick up in the last few years. But it's likely to change with the production-linked incentive (PLI) schemes and some [other] schemes announced by the government, and demand and consumption picking up in the economy. We expect private capex to start seeing momentum going forward.

64 | **Q: Do you think globalisation as a concept is under threat with the Covid-19 outbreak and the closing down of economies, and now the Russia-Ukraine conflict?**

A: I wouldn't say globalisation is under threat, but I would say, clearly, business continuity will be re-evaluated. We moved from an era where we were dependent on, let's say, one global-scale manufacturing plant... because that was the cheapest source available to you across the world, to now thinking about what would happen if something happens to that plant or place, and you are unable to source [your materials].

So, should you diversify and have two or three other options available? I would not necessarily say that people or companies will move away from globalisation because they are still going to look for alternative sources, but not necessarily in the countries where they are operating [in], or they are consuming. I think globalisation is here to stay. That is not going away, but what will possibly change is that instead of depending on a sole supplier because of the benefits the supplier provides, [a company] may go in for a slightly more expensive alternative source. A company will not depend

ON THE SENTIMENT IN CORNER ROOMS

Demand is coming back post the pandemic... Large corporations are in a good place to take advantage of the economy opening up, whereas SMEs and the self-employed will take some more time to recover.

ON INDIA AND ALTERNATIVE SUPPLY CHAINS

We are offering our ecosystem to set up supply chains in India. The government's 'Make in India' [initiative] is designed to create that environment so that global companies look at India as a very good [supply chain] alternative.

ON WHY PRIVATE CAPEX HAS LAGGED

A key reason has been the [low] capacity utilisation across sectors. We have seen capacity utilisation below [the level] that would trigger new investments coming in, other than for sectors like steel and cement. But it is likely to change.



on one supplier or one country... it would have its footprint in the supply chain in two or three countries, from two or three different sources. Today, you are going to think about your business continuity plan, because a pandemic was something nobody expected. It tested the business continuity model of every organisation, of governments, and of institutions. Every business has undergone a transformation in its supply chain.

Q: Do you see India gaining as corporations diversify their manufacturing plants or sourcing bases? In the aftermath of the Covid-19 outbreak, we had heard that the supply chain would shift from China, but nothing much seems to have happened on the ground.

A: It's not easy to shift supply chains. I think the shift is a long-term thought process. Once you decide to relocate and plan the supply chain in a particular country, you need to think through the entire value chain. If you want to set up a plant, for instance, a global car manufacturing plant, then you have to think about all the things that go into the car and where they are going to come from. How do they reach